AI Action Plan · sample

Northshore Mechanical Services

A fully de-identified sample. ***Northshore is fictional.*** The figures, clauses, and account counts are invented. The structure, density, and voice are exactly how a real Action Plan arrives in the executive's inbox.

SUBJECT	ENGAGEMENT	READ TIME
$24.8M commercial mechanical contractor · eastern MA / southern NH · founder-led, second generation · 108 staff	Ten business days · audit only	Approx. nine minutes

i. Where the margin actually lives

Northshore is sold internally as a full-service mechanical contractor — install, retrofit, service, controls — with install at the front of the marketing, the comp plan, and the calendar. The financials describe a different company. Roughly 71% of operating margin in the trailing twelve months came from recurring service and maintenance, not new install. Install pays the lights and feeds the service book. Service is what actually compounds. The thing producing most of the margin is structurally underweighted in every place the company makes a decision about itself.

That gap shows up in concrete places. The senior estimator runs the install pipeline; nobody equivalent runs the service book at the executive level. The dispatch function that touches the top fifteen recurring accounts runs on a senior coordinator who has been there fourteen years and a screen that has not been replaced since 2017. Sales comp pays for install bid wins, not for renewing or expanding the agreements that produce the margin. When one of those top fifteen accounts moves, the install pipeline takes the second hit two quarters later — because those accounts are who refer the next install. The exposure is asymmetric in a way the org chart does not advertise.

ii. Where the leak is

Across the contracts, vendor records, dispatch logs, and software inventory parsed during the engagement, four pools of leakage are large enough to act on this quarter. The order is by estimated annualized impact, not by ease.

> 1. **Service contract pricing frozen against 2022 labor rates — $1.4M to $1.8M annual.** Sixty-one of the ninety-three active commercial maintenance agreements were last priced before the 2023–2024 wage adjustments. The rate-card escalator clauses exist in those contracts — Schedule B in the standard form, Section 4.2 in the legacy form — and grant Northshore the right to adjust at each anniversary on thirty days' notice. They were not exercised at the last anniversary because the review fell to a senior coordinator carrying five other priorities at the time. The figure above assumes a two-step normalization over twelve months, not a one-time shock; a comparable contractor we have visibility on captured 89% of the implied uplift in the first cycle and lost zero accounts.

> 2. **Parts purchasing fragmented across four distributors — $520K to $740K annual.** The same SKUs — refrigerant, copper line sets, control boards, the standard MRO consumables — are flowing in through four supply houses at unit prices that vary by 8–18% depending on which technician calls which counter. Two of the four distributors are owned by the same parent and have unified rebate programs Northshore is not enrolled in. Consolidating to two preferred suppliers with a single annual rebate agreement — a six-week procurement effort — captures the range named above based on prior-year purchase actuals.

> 3. **Field labor utilization on small-job tickets — $380K to $560K annual.** Service tickets under four billable hours run at 58% productive utilization (drive, diagnose, fix, write up). The same technicians on planned-maintenance routes run at 81%. The gap is dispatch sequencing and parts staging, not technician effort. Two changes close most of it: pre-staged truck inventory tuned to the top forty service SKUs, and a same-day cluster rule that holds non-emergency small jobs until two are within ten

> miles. Comparable contractors have moved similar utilization gaps in two to three months without adding headcount.

> 4. **Software seats and services aligned to 2022 headcount — $140K to $190K annual.** Three platforms are licensed at a tier set when Northshore employed 134 people: the field service management suite, the CRM add-on, and an estimating tool. Current headcount is 108. There is also a fourth subscription — $3,400 per month, charged to operations, last touched twenty-three months ago — that no one in the executive team could identify the owner of when asked. The dollar value here is the smallest of the four findings and the most viscerally embarrassing of the four, which is why it is on the list.

Total estimated annualized leakage across these four pools: $2.4M to $3.3M. Approximately 10–13% of revenue. All four are addressable inside the current fiscal year with existing staff, two outside specialists, and roughly six to eight weeks of attention each.

HOW AI FITS

iii. What AI changes about this, today

The four findings above were surfaced in nine business days. Three years ago the same engagement would have taken four months of consultant time and a meaningful multiple of the fee. The change is not that AI generated the insight. The change is that AI made it economical to parse the entire corpus in volume — every agreement, every escalator clause, every renewal date, every ticket time-stamp, every line item on every invoice — and surface the anomalies for a human to weigh.

Inside Northshore, two AI builds compound directly with the findings above.

AI SOFTWARE · BUILD · 4–6 WEEKS

Proposal generator for the senior estimator. The senior estimator and one assistant spend two to three days per week assembling proposals from the same forty-odd component patterns. A small generator drafts from the prospect's scope document and pre-populates labor and parts from the last forty winning bids. Senior-estimator time recovered: ~14 hrs/week. Quote cycle: 3 days → 4 hours. Estimated revenue lift: +8–12%. Run cost under $400/month.

AI AGENT · BUILD · 2–4 WEEKS

Anniversary review agent. The sixty-one missed escalators identified in Section ii were not flagged because the review owner had five other priorities and contracts arrived in the queue in no particular order. An agent watches the contract calendar; at each anniversary it parses the rate-card escalator clauses, checks the labor-rate baseline, and drafts the renewal letter for human sign-off. 93 contracts reviewed in 90 minutes instead of three weeks. Captured margin: $1.4M – $1.8M / yr. Human time: sign-off only.

> What AI does not do is generate the strategy. *It collapses the rate-limiting step.* The volume of reading was, until recently, the part of the work that priced consulting out of mid-market budgets.

iv. What to build first

Three moves, ranked by impact. Each tagged with the kind of work it implies, so the executive team can sequence resources accordingly.

1. AI AGENT · BUILD · 2–4 WEEKS

Anniversary review agent. Watches the contract calendar. At each anniversary, parses the rate-card escalator clauses (*Schedule B*, *Section 4.2*), checks the current labor-rate baseline, and drafts the renewal letter for human sign-off. Captures the sixty-one missed escalators identified in Section ii without adding headcount. **Estimated capture:** **$1.4M to $1.8M annual.** Risk we would name in advance: two or three of the largest accounts will push back hard at the first cycle. Plan for it; do not be surprised.

2. WORKFLOW CHANGE · 6–8 WEEKS

Consolidate parts purchasing to two preferred distributors. Procurement effort, not a software build. Lower lift than the agent and can run in parallel. The technician resistance is real — the existing supply-house relationships are personal — and is best handled by paying close attention to the on-counter experience and credit-line behavior for the two preferred houses, not by mandate. **Estimated capture:** **$520K to $740K annual.**

3. AI SOFTWARE · BUILD · 4–6 WEEKS

Proposal generator for the senior estimator. Drafts from the prospect's scope document; pre-populates labor and parts from the last forty winning bids. We would not lead with this on the income-statement basis — the dollar value is smaller than the agent above. We lead with it because it is the fastest way to demonstrate, inside Northshore, that AI can be useful in concrete and unglamorous ways. That demonstration matters when the appetite for AI is real and the trust is unproven. **Estimated capture:** **+8–12% revenue from faster turnaround; senior-estimator time recovered ~14 hrs/week.**

What we would *not* do first: the software-seat audit, despite the visceral satisfaction of cancelling the orphaned subscription. The dollar value is small, the political cost of touching cherished tools is disproportionate, and the work belongs in a normal annual procurement cycle, not at the front of an AI conversation. Surface it; do not lead with it.

v. Two questions we would ask before the next quarter

The first question is the uncomfortable one: *If service and maintenance is what produces 71% of margin, why is the senior selling effort going into install bids?* Today there is no answer. The service book is healthy because it has always been healthy. It is also more concentrated than the org chart implies — the top fifteen accounts produce ~58% of the service revenue — more strategically important than the comp plan rewards, and more vulnerable to a single competitor decision than anyone has had time to model. The question is not rhetorical. It calls for a re-weighting of where the senior team spends its calendar.

The second question is simpler: *What would it take, in the next six months, to make Northshore the obvious place to call for the controls and energy-efficiency upgrades the top fifty service accounts are about to need anyway?*The answer is probably not more technicians. The answer is probably a small number of small things — a customer portal that holds equipment history, a forty-eight-hour anniversary-quoting cycle, a named single point of contact for each top-fifty account — that, taken together, are how the next-tier contractor wins this segment in the next eighteen months. Northshore is the incumbent. Incumbents lose this kind of segment by under-investing in the customer's next adjacent need, not by being out-priced on the current one.

Methodology

Over the ten business days of the engagement we worked through: the standard- and legacy-form maintenance contracts and amendments for all ninety-three active commercial accounts; the trailing eighteen months of vendor invoices from the four supply houses; the dispatch logs and ticket time-stamps for the trailing twelve months; the licensed-software inventory and renewal calendar; the public-facing site, the proposal templates, and the policy handbook. We held a two-hour executive alignment session at the start and four short calls during discovery — with the VP Service, the VP Install, the senior estimator, and the dispatch coordinator. AI handled the volume and flagged anomalies; every finding above was weighted by us before it entered this document. No client information used in the engagement appears in this Action Plan or this footnote.

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